

Multiple Choice

1. **Answer:** C

Options: A) \$810.00; B) \$807.50; C) \$802.26; D) \$800.00; E) \$795.00

Note: The correct answer of 802.26 is derived from calculating the present value of the draft by discounting for 60 days at a discount rate of 5%, which accounts for the interest lost from the time of discounting until the draft's due date.

2. **Answer:** A

Options: A) 150.00, 33.45, \$2,500.00; B) 173.00, 35.00, \$2,100.00; C) 150.00, 25.45, \$2,100.00; D) 173.00, 30.45, \$2,500.00; E) 200.00, 35.00, \$2,500.00

Note: The correct answer is derived from calculating the total cost for each order by multiplying the quantity of items by their respective unit prices: for glasses, 346 glasses at 0.50 each equals 173.00; for nails, 870 nails at 0.035 each equals 30.45; and for chains, 125 chains at 16.48 each equals 2,060.00, leading to the total costs of 173.00, 30.45, and \$2,060.00, respectively.

3. **Answer:** A

Options: A) Corporate brands.; B) Generic branding.; C) Manufacturer brand.; D) Family branding.; E) Product line branding.

Note: The correct answer is "Corporate brands" because this term describes a branding strategy where a company uses its organizational name as a single brand identity for all its products, fostering a unified image and recognition in the marketplace.

4. **Answer:** D

Options: A) \$790.92; B) \$798; C) \$810; D) \$799.92; E) \$785.92

Note: The correct answer of \$799.92 is derived from calculating the proceeds of the note after discounting it at the bank's interest rate, which involves determining the maturity value of the note and then applying the discount rate for the remaining period until maturity.

5. **Answer:** B

Options: A) Selective.; B) Exclusive.; C) Concentrated.; D) Comprehensive.; E) Specific.

Note: The term "exclusive" refers to a marketing strategy where specific intermediaries are granted sole rights to sell a product or service within a designated area, thereby limiting competition and ensuring focused distribution.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The refund amount is true because it reflects the prorated calculation of the annual premium based on the number of days the policy was active, resulting in a refund of \$28.40 for 33 days of coverage out of a 365-day policy.

7. **Answer:** True

Options: A) True; B) False

Note: Cognitive attitudinal models, including the Theory of Social Identity, emphasize that individuals' consumer behaviors are significantly influenced by their identification with social groups and the norms established within those groups.

8. **Answer:** False

Options: A) True; B) False

Note: The financing charge is calculated by subtracting the cash price of the stove (250–25 down payment = 225) from the total of the installment payments (20 x 12 = 240), resulting in a financing charge of 15, not \$30.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because, at 2000 copies, the marginal cost of producing additional copies equals the marginal revenue generated, which minimizes overall costs in the mimeographing process.

10. **Answer:** True

Options: A) True; B) False

Note: The British Government categorizes core marketing functions as research, product development, pricing, and promotion, while sales tactics are typically viewed as a subset of sales management rather than a central marketing function.

Long Form Response

11. **Answer:** To determine the more economical financing option for the 720 used car, we analyzed the two costs: borrowing the amount at an 8% interest rate versus the cash price.

Note: correct because it effectively compares the financial implications of borrowing at an 8% interest rate versus the cash price.

11. **Answer:** The market penetration rate is a crucial metric in innovation adoption, reflecting the percentage of potential customers who have adopted a new product or service within a specific market. This rate significantly impacts business strategy as it informs companies about the effectiveness of their marketing efforts, the competitive landscape, and potential areas for growth. A higher penetration rate suggests successful adoption and may lead businesses to invest further in scaling operations, while a lower rate may prompt reevaluation of product features, pricing, or marketing strategies. Additionally, the market dynamics are influenced by penetration rates, as they can affect consumer behavior, competitive rivalry, and overall market saturation. Understanding this relationship allows firms to adapt their strategies proactively, aligning with the evolving landscape of consumer preferences and technological advancements.

Note: The answer correctly identifies the market penetration rate as a vital metric in assessing innovation adoption, emphasizing its role in guiding business strategy and decision-making based on customer adoption levels and competitive positioning.

End of Answer Key